

Ask friends, neighbors, and coworkers who have remodeled or made home improvements. Who did they use? Once you've identified several possible candidates, check them out with the local Better Business Bureau or consumer protection agency to see if they've had complaints filed against them and, more importantly, whether they resolved any problems satisfactorily.

Get at least three detailed written estimates that spell out exactly what will be done, the type and quality of materials that will be used, and the cost, based on your written description of your project. Compare the bids carefully. Don't automatically choose the lowest bid without discussing each bid with the appropriate contractor so you can determine why they differ. If a bid is significantly lower than the others, you may want to toss it out. The contractor may be bidding inferior materials or planning to take labor-saving shortcuts that compromise the quality of the work.

Once you've chosen a contractor, ask for the name of his insurance agent and call to verify that he carries workers' compensation insurance and coverage for property damage and personal liability in case of accidents. You don't want to be held financially responsible if a worker is hurt on your property. It's also a good idea to call your state and local government and find out if contractors have to be licensed or bonded. If they do, check to make sure the contractor has complied.



Before hiring a contractor to build or renovate your home, educate yourself about contractor fraud so you know what to look out for. Visit www.contractorfraud.net for information on popular contractor scams and advice on finding and using reputable contractors.

The Payment Schedule

Never pay a contractor the entire cost of the project up front. He'll probably request a down payment, the amount of which may be limited by